

Domain II — Ethics and Professionalism

Principle 2 — Maintain Objectivity

Principle Overview

Internal auditors maintain impartiality when performing audit services and making decisions. Objectivity supports balanced professional judgments without inappropriate influence. An independently positioned internal audit function helps auditors maintain this objectivity.

Content note: Requirements, implementation considerations, and evidence examples are paraphrased from the supplied pages. The remaining sections contain suggested practical applications for the platform. Risk ratings are illustrative.

2.1 — Individual Objectivity

Standards & Guidance

Requirements

Internal auditors must:

- Maintain professional objectivity throughout all aspects of internal audit services.
- Apply an impartial and unbiased mindset.
- Base professional judgments on balanced assessments of all relevant circumstances.
- Recognize and manage potential biases.

Considerations for Implementation

- Exercise professional judgment without compromising it or subordinating it to others.
- Use systematic methods for gathering and evaluating information.
- Provide training on situations that may impair objectivity and how to address them.
- Consider how relationships, activities, assumptions, and personal experiences may influence judgments.
- Recognize the possibility of misinterpreting information or making unsupported assumptions.

Examples of biases include:

Bias	Description
Self-review bias	Insufficient critical scrutiny when reviewing one's own work, potentially overlooking errors or weaknesses.
Familiarity bias	Reliance on previous experience or familiarity that weakens professional skepticism.
Prejudice or unconscious bias	Judgments influenced by preconceived views about personal characteristics, backgrounds, or beliefs.

Examples of Evidence of Conformance

- References to objectivity responsibilities in the internal audit charter.
- Policies and procedures addressing objectivity.
- Planned and completed objectivity training, including attendance records.
- Auditor acknowledgments of objectivity responsibilities and disclosure obligations.
- Documented disclosures of potential conflicts or other impairments.
- Supervisory review and mentoring records.

Audit Focus Areas

- Balanced evaluation of relevant evidence.
- Recognition and management of individual biases.
- Professional judgment free from inappropriate influence.
- Objectivity training and awareness.
- Supervisory challenge of unsupported assumptions.

Risks

Risk	Indicative rating
Biased judgments produce inaccurate findings or conclusions.	High
Auditors overlook weaknesses when reviewing their own work.	High
Familiarity leads auditors to accept explanations without sufficient examination.	High
Personal assumptions result in inconsistent evaluation of evidence.	High

Controls

Suggested control	Type
Documented objectivity policies and auditor acknowledgments.	Preventive
Training using examples of self-review, familiarity, and unconscious bias.	Preventive
Workpaper requirements to document relevant evidence and the rationale for conclusions.	Preventive
Supervisory review that challenges assumptions and considers contradictory evidence.	Detective
Reassignment or additional independent review where an identified bias threatens an engagement.	Preventive / Corrective

Audit Procedures

Procedure	Required evidence
Review the charter and methodologies for clear objectivity responsibilities.	Audit charter, policies, methodologies
Sample engagement files and assess whether conclusions reflect relevant supporting and contradictory evidence.	Workpapers, evidence records, conclusions
Examine whether significant assumptions were tested and justified.	Analysis, testing results, review comments
Interview auditors about recognizing and managing biases.	Interview records, training materials
Review supervisory comments and confirm that identified concerns were resolved.	Review notes, responses, revised workpapers
Check completion of objectivity training and acknowledgments.	Attendance records, signed acknowledgments

Red Flags

- Conclusions are formed before sufficient evidence is obtained.
- Contradictory information is dismissed without explanation.
- Auditors rely on statements such as “we have always trusted this department.”
- Personal views or stereotypes appear in audit judgments.
- Reviewers repeatedly identify unsupported assumptions.

Common Findings — Illustrative Examples

- Audit conclusions did not reflect all relevant evidence.
- Significant assumptions were not tested or supported.
- Objectivity training did not address common sources of bias.
- Supervisory reviews did not adequately challenge unsupported judgments.

- Identified objectivity concerns were not addressed.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 2, Standard 2.1 — Individual Objectivity.

2.2 — Safeguarding Objectivity

Standards & Guidance

Requirements

Internal auditors must:

- Identify and avoid or mitigate actual, potential, and perceived impairments to objectivity.
- Decline gifts, rewards, favors, or other tangible or intangible benefits that may impair, or be perceived to impair, objectivity.
- Avoid conflicts of interest.
- Resist undue influence from personal interests, other individuals, senior management, people in authority, political circumstances, or the surrounding environment.
- Refrain from assessing specific activities for which they were previously responsible.

Previous Responsibilities and Engagement Assignments

Situation	Requirement
Assurance over an activity for which the auditor had responsibility within the previous 12 months	Objectivity is presumed to be impaired.
Assurance following previous advisory services by the internal audit function	The chief audit executive must confirm that the advisory work does not impair objectivity and assign resources to manage individual objectivity.
Assurance over a function for which the chief audit executive has responsibility	An independent party outside the internal audit function must oversee the engagement.
Advisory services concerning an activity for which the auditor previously had responsibility	Potential impairments must be disclosed to the requesting party before accepting the engagement.

The chief audit executive must establish methodologies for addressing impairments. Internal auditors must discuss impairments and take appropriate action under those methodologies.

Considerations for Implementation

- Consider both actual impairments and how circumstances may reasonably appear to others.
- Assess personal relationships, financial interests, previous responsibilities, and other competing interests.
- Establish clear expectations for gifts, rewards, favors, and responses to impairments.
- Apply the more restrictive policy where internal audit's gift rules are stricter than the organization's general rules.
- Examine whether performance evaluations, remuneration, bonuses, or incentives could influence audit judgments.
- Discuss current and previously disclosed impairments when assigning engagement resources.
- Use supervision and workpaper reviews to identify concerns and support balanced conclusions.
- Disclose and mitigate unavoidable impairments in accordance with Standard 2.3.

Examples of arrangements that may threaten objectivity include:

- Evaluations or remuneration based primarily on feedback from the management being audited.
- Incentives linked to the number of findings, revenue growth, cost savings, or job reductions in the activity under review.
- Gifts or gratuities provided by management as indirect compensation.

Examples of Evidence of Conformance

- Policies for identifying impairments and applying safeguards.
- Objectivity training records.
- Declarations confirming the absence of known impairments or disclosing potential impairments.
- Stakeholder feedback about auditors' objectivity.
- Supervisory review notes.
- Remuneration plans.
- Board minutes addressing objectivity impairments.
- Alternative arrangements for audit activities affected by unavoidable impairments.
- Independent external quality assessment results.

Audit Focus Areas

- Engagement staffing and previous operational responsibilities.
- Actual, potential, and perceived conflicts of interest.
- Gifts, hospitality, favors, and financial relationships.
- Assurance assignments following advisory work.
- Independent oversight where the chief audit executive has responsibility for the activity.
- Performance measures and remuneration arrangements.

- Implementation of safeguards.

Risks

Risk	Indicative rating
Auditors provide assurance over activities they recently managed.	High
Gifts, financial interests, or personal relationships influence audit judgments.	High
Previous advisory work creates unmanaged self-review threats.	High
The chief audit executive oversees assurance over a function under their own responsibility.	High
Incentives encourage excessive findings, suppressed findings, or predetermined outcomes.	High

Controls

Suggested control	Type
Engagement-level screening of previous responsibilities, relationships, and interests before assignment.	Preventive
Assignment checks that identify responsibility for the activity within the previous 12 months.	Preventive
Gift and benefit rules addressing actual and perceived effects on objectivity.	Preventive
Documented assessment before assurance over areas previously covered by advisory services.	Preventive
Independent oversight outside internal audit for assurance over functions under the chief audit executive's responsibility.	Preventive / Detective
Periodic review of remuneration and performance criteria for objectivity threats.	Detective
Documented safeguards, reassignment decisions, and supervisory follow-up.	Preventive / Corrective

Audit Procedures

Procedure	Required evidence
Compare engagement assignments with auditors' previous operational responsibilities and dates.	Assignment records, role histories, transfer dates
Review conflict declarations for relevant relationships, investments, and other competing interests.	Declarations, conflict assessments, safeguard records
Examine a sample of gifts or benefits offered or received and assess compliance with applicable rules.	Gift registers, correspondence, decisions

Procedure	Required evidence
Identify assurance engagements following advisory work and inspect the chief audit executive's objectivity assessment.	Advisory scope, assurance plans, documented assessments
Verify independent oversight for assurance over functions under the chief audit executive's responsibility.	Responsibility records, oversight arrangements, review evidence
Assess whether remuneration or appraisal criteria create inappropriate incentives.	Appraisal criteria, bonus arrangements, remuneration plans
Verify that agreed safeguards were implemented and monitored.	Staffing changes, review records, follow-up documentation

Red Flags

- An auditor is assigned assurance work over an activity they managed within the previous 12 months.
- A gift is considered acceptable solely because it falls below a monetary threshold.
- An auditor has an undisclosed close relationship or financial interest relevant to the engagement.
- Assurance follows advisory work without an objectivity assessment.
- A function under the chief audit executive's responsibility is audited without outside independent oversight.
- Bonuses are linked to finding counts or financial outcomes of the audited activity.
- An impairment is disclosed, but no safeguard is implemented.

Common Findings — Illustrative Examples

- Engagement allocation did not consider auditors' previous responsibilities.
- Conflict assessments did not address perceived impairments.
- Gift procedures focused only on monetary value.
- Assurance following advisory work lacked a documented objectivity assessment.
- Required independent oversight was absent.
- Performance incentives created unmanaged threats to objectivity.
- Agreed safeguards were not implemented.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 2, Standard 2.2 — Safeguarding Objectivity.

Related standards identified in the supplied pages:

- Standard 2.3 — Disclosing Impairments to Objectivity.
- Standard 12.3 — Oversee and Improve Engagement Performance.
- Standard 13.5 — Engagement Resources.

2.3 — Disclosing Impairments to Objectivity

Standards & Guidance

Requirements

- Actual or apparent impairments to objectivity must be disclosed promptly to the appropriate parties.
- Auditors who become aware of an impairment that may affect their objectivity must disclose it to the chief audit executive or a designated supervisor.
- When the chief audit executive determines that an impairment affects an auditor's ability to perform objectively, the chief audit executive must discuss it with the management of the activity under review, the board, and/or senior management, as appropriate, and determine corrective action.
- If an impairment affecting the actual or perceived reliability of findings, recommendations, or conclusions is discovered after an engagement is completed, the chief audit executive must discuss it with appropriate affected parties and determine how to resolve the situation.
- If the chief audit executive's own objectivity is impaired in fact or appearance, the chief audit executive must disclose the impairment to the board.

Considerations for Implementation

- Define disclosure responsibilities, reporting routes, and responses within internal audit methodologies.
- The chief audit executive generally determines the approach to disclosure and mitigation in agreement with the board and senior management.
- Where an impairment cannot be avoided, consider suitable arrangements such as:
 - Reassigning the affected auditor.
 - Rescheduling the engagement to obtain appropriate staff.
 - Adjusting the engagement scope.
 - Outsourcing engagement performance or supervision.
- Where a planning-stage concern relates solely to a perceived impairment, the chief audit executive may discuss it with the relevant management, explain why the exposure is minimal and how it will be managed, and document the decision.
- Consider Standard 7.1 where the chief audit executive assumes responsibilities beyond internal auditing.

Examples of Evidence of Conformance

- Methodologies governing disclosure of objectivity impairments.
- Documentation disclosing impairments or confirming their absence.
- Records of disclosures and the appropriate parties' responses and/or approval of mitigation.

Audit Focus Areas

- Timeliness and completeness of disclosures.
- Appropriate reporting and escalation routes.
- Assessment and mitigation of disclosed impairments.
- Disclosure of the chief audit executive's own impairments to the board.
- Impairments discovered after engagement completion.
- Documentation of decisions and follow-up.

Risks

Risk	Indicative rating
Delayed disclosure allows an impaired auditor to continue influencing the engagement.	High
Disclosures do not reach parties able to address the situation.	High
The chief audit executive's impairment is not disclosed to the board.	High
Users continue relying on results affected by an impairment discovered after completion.	High
A disclosed impairment remains unresolved because mitigation is undocumented or ineffective.	High

Controls

Suggested control	Type
Documented disclosure procedures identifying recipients, responsibilities, and prompt reporting expectations.	Preventive
Engagement declarations updated when relevant circumstances change.	Preventive / Detective
Restricted-access register recording disclosures, assessments, decisions, and actions.	Detective
Direct board disclosure process for impairments affecting the chief audit executive.	Preventive / Detective
Documented mitigation decisions and verification of implementation.	Corrective
Post-engagement assessment and communication process for newly discovered impairments.	Detective / Corrective

Audit Procedures

Procedure	Required evidence
Review the disclosure methodology for actual and apparent impairments, reporting routes, and required responses.	Methodologies, disclosure forms, escalation procedures
Sample cases and compare the date the impairment became known with the date of disclosure.	Dated declarations, correspondence, case records
Verify that disclosures reached the chief audit executive or designated supervisor and were escalated appropriately.	Notifications, assessments, meeting records
Examine impairments affecting the chief audit executive and verify disclosure to the board.	Board communications, relevant minutes
Check that mitigation decisions were documented and implemented.	Reassignment records, revised plans, oversight arrangements
Review impairments discovered after completion and assess consideration of report reliability and communication to affected parties.	Completed reports, impact assessments, stakeholder communications
Examine decisions to proceed despite perceived impairments for documented reasoning and safeguards.	Discussion records, risk assessments, final decisions

Red Flags

- Disclosure occurs only after the report is issued, although the concern was known earlier.
- The auditor continues unchanged in the assignment after a significant impairment is identified.
- A disclosure is recorded without an assessment or response.
- The chief audit executive handles their own impairment without informing the board.
- A post-engagement impairment is identified without assessing the reliability of issued results.
- Decisions to proceed are verbal and undocumented.

Common Findings — Illustrative Examples

- Impairments were not disclosed promptly.
- Procedures did not clearly identify appropriate disclosure recipients.
- The chief audit executive's impairment was not disclosed to the board.
- Disclosed impairments lacked documented mitigation decisions.
- Agreed actions were not implemented or followed up.
- Impairments discovered after completion were not assessed for their effect on issued results.
- Decisions concerning perceived impairments lacked supporting documentation.

Professional References

IIA, *Global Internal Audit Standards*, Domain II, Principle 2, Standard 2.3 — Disclosing Impairments to Objectivity.

Related standards identified in the supplied pages:

- Standard 7.1 — Organizational Independence.
- Standard 11.4 — Errors and Omissions.

Platform note: Apply the organization's approved methodology when assigning risk ratings. Red flags require further examination and do not, by themselves, establish misconduct.